

circuit filter to 10 per cent. That only slowed the pace of decline, but did nothing to calm panicky investors who continued to head for the exit. The stock fell 10 per cent three days in a row, with still no signs of buyers, though the stock had halved over the last five trading sessions and was now quoting less than Rs 300. The exchanges then reduced the intra-day circuit filter to 5 per cent.

I and a few other traders who had fairly big long positions in the stock knew it would be some time before long-term investors considered the stock. But we also knew there would no dearth of traders looking to make a quick buck off a temporary rebound in price. On the sixth day, we got together and started buying the shares as soon as they crashed to Rs 280. As big quantities began to get traded, many sellers immediately withdrew their orders thinking the stock was poised for a short-term bounce. Many traders too jumped into the fray, hoping to sell the stock at least 10 per cent higher over the next two or three sessions. The stock began to recover, but there had to be sufficient demand for the stock so we could exit our positions without attracting too much attention. We traded among ourselves to further boost volumes and, having created an appetite for the stock, managed to sell out quietly.

We incurred a small loss on this operation in addition to the losses on the positions we had been holding. Still, we'd have lost more money had we waited. MCX fell 5 per cent on each of the following three days, again with no buyers for the stock.

By the third week of August, FTIL had fallen below Rs 150, though the selling fury had abated. The market was worried that FTIL would have to foot the Rs 5,600 crore bill owed by NSEL to its investors, since NSEL was its 100 per cent subsidiary. In its bid to assuage FTIL shareholders, the management declared that it was not liable for NSEL's dues as the two companies were separate entities. This argument may have been legally sound, but sent out the signal that FTIL was trying to disown responsibility for the events at NSEL, denting the credibility of Jignesh & Co.

MCX was on a much better wicket compared with FTIL, and the panic selling in its stock may have been overdone. But the market concern was no longer about the company's earnings prospects; it was about its corporate governance standards. The poor internal controls and lax risk management procedures at NSEL raised doubts about the systems and processes at MCX too. Also, FTIL's claim that NSEL was a separate entity led investors to